

MAINS MASTER PROGRAM (MMP) 2024**I ! b5h ! ¢ –17**

Government policies & interventions for development in various sectors & issues arising out of their design & implementation & Issues relating to Poverty & Hunger

➤ **What is Development?**

- ✓ **Development** refers to the process of growth, progress, or positive change in various aspects of life, society, or systems.
- ✓ **Aspects of Development** - Economic Development, Social Development, Human Development, Personal Development, Sustainable Development etc.

➤ **India's Development Strategy – Phases**

✓ **Phase 1: Post-Independence and Nehruvian Era (1947–1965)**

- **Strategy:** State-led Industrialization and Planned Economy
- **Goals:** Economic self-reliance, social justice, and eradication of poverty.
- **Approach:**
 - a) **Centralized Planning:** Introduction of the Five-Year Plans, beginning in 1951, under the guidance of the Planning Commission.
 - b) **Public Sector Dominance:** The state played a central role in the economy, particularly in heavy industries like steel, coal, and infrastructure. The public sector was seen as the engine of growth.
 - c) **Import Substitution Industrialization (ISI):** A strategy to reduce dependency on foreign imports by developing domestic industries. Tariffs and quotas were imposed to protect domestic industries from foreign competition.
 - d) **Agricultural Focus:** Land reforms and the abolition of the Zamindari system aimed at redistributing land to the poor and improving agricultural productivity. However, progress in agriculture was slow.
- **Challenges:**
 1. Low agricultural productivity.
 2. Slow industrial growth due to excessive bureaucratic controls and a lack of competition.
 3. Shortages of foreign exchange and dependence on imports for machinery and technology.

✓ **Phase 2: Green Revolution and Agricultural Transformation (1965–1980)**

- **Strategy:** Agricultural Modernization and Food Security
- **Goals:** Food self-sufficiency, poverty reduction, and rural development.
- **Approach:**
 - a) **Green Revolution:** Introduction of high-yielding variety (HYV) seeds, chemical fertilizers, and irrigation techniques, particularly in wheat and rice-producing regions. This transformed India from a food-deficit nation to self-sufficiency in food grains by the 1970s.
 - b) **Focus on Rural Development:** Emphasis on rural infrastructure, land reform, and employment programs to boost the rural economy.

c) **Expansion of Public Distribution System (PDS):** Distribution of subsidized food grains to ensure food security for low-income households.

- **Challenges:**

1. Benefits of the Green Revolution were largely concentrated in certain states (Punjab, Haryana, and parts of Uttar Pradesh), exacerbating regional inequalities.
2. Environmental degradation due to overuse of fertilizers and water resources.

✓ **Phase 3: The Economic Crisis and Shift Towards Liberalization (1980–1991)**

- **Strategy:** Gradual Economic Reform and Growth Stimulation

- **Goals:** Stabilize the economy and stimulate growth.

- **Approach:**

1. **Partial Reforms:** In the 1980s, India began to slowly open up sectors of the economy to private investment and introduced some liberalization measures. This included deregulation of certain industries and allowing more foreign technology and capital.
2. **Public Sector Dominance Continues:** While some private sector participation was encouraged, the public sector still played a dominant role, especially in large industries.
3. **Agricultural and Rural Development:** More focus was given to rural employment schemes and poverty reduction initiatives, like the Integrated Rural Development Program (IRDP).

- **Challenges:**

- a) High fiscal deficits and balance-of-payments crisis due to increased external debt and inefficient public sector enterprises.
- b) The public sector continued to suffer from inefficiencies, and the economy faced stagnation.

✓ **Phase 4: Liberalization, Privatization, and Globalization (1991–2000)**

- **Strategy:** Market-Oriented Reforms and Integration with the Global Economy

- **Goals:** Economic stabilization, increase in foreign investment, and modernization.

- **Approach:**

1. **Economic Reforms of 1991:** Triggered by a balance-of-payments crisis, India introduced major economic reforms under the leadership of Prime Minister P.V. Narasimha Rao and Finance Minister Manmohan Singh.
2. **Liberalization:** Removal of the License Raj (the system of licenses, permits, and quotas), reduction of trade barriers, deregulation of industries, and encouragement of private investment.
3. **Privatization:** The government began to sell stakes in public sector enterprises and reduce the state's role in running businesses.
4. **Globalization:** India opened its economy to foreign direct investment (FDI), increased exports, and became more integrated into the global economy.

- **Challenges:**
 - a) Rising income inequality and regional disparities as some areas (like southern and western India) benefited more from globalization than others.
 - b) Growth was focused on the service sector, while the agricultural and manufacturing sectors lagged behind.
- ✓ **Phase 5: Post-Reforms Economic Growth and Social Inclusion (2000–2014)**
 - **Strategy:** High Growth with Focus on Inclusion
 - **Goals:** Sustain high economic growth while ensuring that growth benefits reach all sections of society.
 - **Approach:**
 1. **Focus on Services and IT:** India's service sector, particularly IT and software, became a key driver of growth. Cities like Bengaluru, Hyderabad, and Pune emerged as global IT hubs.
 2. **Welfare and Employment Programs:** Introduction of large-scale social programs like the Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA), which guaranteed rural employment.
 3. **Inclusive Growth:** The government placed greater emphasis on addressing poverty, health, and education. Programs like the National Rural Health Mission (NRHM) and Sarva Shiksha Abhiyan (SSA) were launched to improve health and education outcomes.
 4. **Infrastructure Development:** Large investments in infrastructure projects, including roads, railways, and energy, were made to improve connectivity and support industrial growth.
 - **Challenges**
 - a) Persistent issues of corruption and inefficiency in the implementation of social programs.
 - b) Growing urban-rural divide and lack of job creation in the formal manufacturing sector.
- ✓ **Phase 6: High Growth, Digital India, and Sustainable Development (2014–Present)**
 - **Strategy:** Sustainable, Inclusive, and Digital-Driven Development
 - **Goals:** Achieve faster economic growth, sustainable development, poverty eradication, and digital transformation.
 - **Approach**
 1. **Make in India:** Launched to boost manufacturing and promote India as a global manufacturing hub by encouraging domestic production and attracting foreign investment.
 2. **Digital India:** A major push toward improving digital infrastructure, expanding internet access, and promoting digital governance through platforms like Aadhaar, Unified Payments Interface (UPI), and Direct Benefit Transfer (DBT).

3. **Sustainable Development:** Growing emphasis on renewable energy and sustainable practices, with programs like the National Solar Mission and the Swachh Bharat Mission for improving sanitation and hygiene.
4. **Financial Inclusion:** Schemes like Pradhan Mantri Jan Dhan Yojana (PMJDY) were introduced to bring banking services to the unbanked and provide access to financial services.
5. **Rural Development:** Continued focus on improving rural infrastructure through programs like Pradhan Mantri Gram Sadak Yojana (PMGSY) and the Pradhan Mantri Awas Yojana (PMAY).

- **Challenges:**

- a) Jobless growth, where economic growth has not translated into sufficient employment opportunities, especially for the youth.
- b) Income inequality and uneven development between states.
- c) Environmental degradation due to rapid industrialization and urbanization.

➤ **Why has Human Development not kept pace with Economic development in India?**

- ✓ In India, while **economic development** has made significant strides, particularly post-liberalization in 1991, **human development**—which includes improvements in health, education, living standards, and overall quality of life—has not kept pace.

- ✓ **Factors responsible for the Mismatch**

- **Focus on Economic Indicators over Human Development Indicators**

1. **GDP-Centric Growth Model:** India's post-1991 economic reforms prioritized GDP growth, foreign investment, and industrial development. While these reforms led to substantial economic gains, they often overlooked critical human development factors like health, education, and social equity. Development policies were more focused on stimulating markets and less on addressing the fundamental needs of the population.
2. **Neglect of Human Development Indicators:** Metrics such as the Human Development Index (HDI), which considers life expectancy, education, and standard of living, were not given as much importance as economic indicators like GDP, leading to a gap between economic and human development.

- **Inequality and Uneven Distribution of Wealth**

1. **Economic Growth Concentrated in Specific Sectors and Regions:** Much of India's economic growth, especially after liberalization, has been driven by sectors like IT, finance, and services, benefiting urban areas and certain states (e.g., Maharashtra, Karnataka, Gujarat). Rural areas, agrarian states, and lower-income states like Bihar, Uttar Pradesh, and Odisha have lagged behind.
2. **Wealth Concentration:** Economic gains have disproportionately benefited the wealthiest sections of society, leading to stark income inequality.

- **Jobless Growth and Informal Economy**

1. **Limited Job Creation:** While India's economy has grown rapidly, this growth has not translated into sufficient job creation, particularly in sectors that employ the majority of the population, such as manufacturing and agriculture. Much of the growth has been concentrated in capital-intensive industries that create fewer jobs.
2. **Prevalence of Informal Employment:** A significant portion of India's workforce (around 80-90%) is employed in the informal sector, where wages are low, job security is minimal, and access to social benefits is limited. As a result, economic growth has not translated into better livelihoods or living standards for a large segment of the population.

- **Persistent Poverty and Social Exclusion**

1. **Slow Poverty Reduction:** Although India has made significant progress in reducing poverty since the 1990s, a large portion of the population still lives near the poverty line. Economic growth has not been inclusive enough to lift all sections of society, particularly marginalized groups like Dalits, Adivasis, and women.
2. **Caste, Gender, and Regional Discrimination:** Social inequality based on caste, gender, and religion has impeded access to opportunities and resources for large sections of the population. Women, in particular, face higher barriers to education, healthcare, and employment, which stifles overall human development.

- **Weak Governance and Corruption**

1. **Inefficient Implementation of Welfare Programs:** India has implemented numerous social welfare programs aimed at improving education, healthcare, and rural development (e.g., MGNREGA, Pradhan Mantri Awas Yojana), but many have suffered from poor execution, corruption, and bureaucratic delays. This has reduced their impact on human development.
2. **Leakages in Subsidies and Benefits:** A significant portion of government resources intended for poverty alleviation and social welfare is lost due to corruption and inefficiencies. While economic development policies have benefited the private sector, many public schemes aimed at human development have been less successful due to poor governance.

- **Agricultural Stagnation and Rural-Urban Divide**

1. **Agricultural Decline:** While India has seen growth in industry and services, agriculture, which employs about 50% of the population, has not experienced similar progress. Low productivity, inadequate irrigation, and rural indebtedness have stunted growth in the agricultural sector, where many people remain trapped in poverty.
2. **Rural-Urban Divide:** There is a significant disparity in the quality of life between urban and rural areas. Urban centres have access to better healthcare,

education, and job opportunities, while rural areas suffer from underdevelopment. This divide has contributed to uneven human development across the country.

✓ **Way Forward**

- India's **economic development** has been impressive in terms of GDP growth and industrial expansion, particularly since the 1991 liberalization. However, the benefits of this growth have not been equitably distributed, leading to a **lag in human development**.
- Factors such as inequality, underinvestment in health and education, jobless growth, social exclusion, poor governance, and environmental degradation have slowed improvements in human development, despite strong economic progress.
- Addressing these structural issues will be key to aligning human development with economic success.

➤ **Approaches to Poverty**

- ✓ **Poverty** refers to a state in which individuals or groups are unable to meet the basic necessities of life, such as adequate food, shelter, clothing, education, and healthcare.
- ✓ It is often characterized by a lack of income, resources, opportunities, and access to essential services, resulting in a lower quality of life and social exclusion.
- ✓ Poverty is a complex issue influenced by economic, social, political, and environmental factors.
- ✓ **Different Approaches to Poverty**
 - **Income-Based Approach:** This approach focuses on income and consumption as the primary measures of poverty. Poverty is seen as a lack of sufficient income to meet basic needs.
 - **Structural Approach:** Poverty is seen as a result of structural inequalities within society, such as social, economic, and political systems that perpetuate the concentration of wealth and power in the hands of a few. It focuses on the systemic barriers that prevent certain groups from escaping poverty.
 - **Capability Approach (Amartya Sen):** Developed by Nobel laureate **Amartya Sen**, this approach defines poverty as the lack of "capabilities" or freedom to live a life that one values. It emphasizes that poverty is not just about income deprivation but also about the inability to access opportunities, make choices, and participate in society.
 - **Multidimensional Approach (Human Development Index):** The Multidimensional Poverty Index (MPI) considers various aspects of poverty beyond income, such as health, education, and living standards. This approach recognizes that poverty is multifaceted and cannot be fully understood by focusing on income alone.
 - **Rights-Based Approach:** This approach views poverty as a violation of fundamental human rights, such as the right to food, shelter, education, and healthcare. It emphasizes that all individuals have a right to live a life with dignity.

- **Participatory Approach:** This approach emphasizes the active involvement of poor communities in identifying the causes of their poverty and the solutions to address them. It shifts from a top-down approach to a bottom-up strategy.

➤ **Government Initiatives & programmes aimed at eradicating poverty**

✓ **Employment Generation Programs**

1. **Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA) (2005):** To provide at least 100 days of guaranteed wage employment in a financial year to every household in rural areas.
2. **Pradhan Mantri Kaushal Vikas Yojana (PMKVY) (2015):** To provide skill development training to youth, enhancing their employability and reducing poverty through job creation.

✓ **Food Security and Nutrition Programs**

1. **Public Distribution System (PDS):** To provide essential commodities such as rice, wheat, and kerosene at subsidized rates to the poor.
2. **National Food Security Act (NFSA) (2013):** To provide subsidized food grains to approximately two-thirds of the population.

✓ **Financial Inclusion and Social Security Programs**

1. **Pradhan Mantri Jan Dhan Yojana (PMJDY) (2014):** To ensure access to financial services like savings accounts, credit, and insurance for every household, especially the unbanked poor.
2. **Pradhan Mantri Mudra Yojana (PMMY) (2015):** To offer microcredit to small and medium-sized enterprises (SMEs) and encourage entrepreneurship, particularly among disadvantaged groups.
3. **Atal Pension Yojana (APY) (2015):** To provide social security to workers in the unorganized sector by offering pension benefits.

✓ **Housing and Sanitation Programs**

1. **Pradhan Mantri Awas Yojana (PMAY) (2015):** To provide affordable housing for all, both in rural and urban areas, by 2022.
2. **Swachh Bharat Mission (SBM) (2014):** To eliminate open defecation and improve sanitation in both urban and rural India.

✓ **Rural Development and Infrastructure Programs**

1. **Pradhan Mantri Gram Sadak Yojana (PMGSY) (2000):** To provide all-weather road connectivity to rural areas to improve access to markets, healthcare, and education.
2. **National Rural Livelihood Mission (NRLM) (2011):** To reduce rural poverty by promoting self-employment and creating sustainable livelihoods through Self-Help Groups (SHGs).

✓ **Healthcare Programs:**

1. **Pradhan Mantri Ujjwala Yojana (PMUY) (2016)**
2. **National Health Mission (NHM):** To improve healthcare access and outcomes for rural and urban populations, especially for the poor.

✓ **Education Programs:**

1. **National Education Policy (NEP) (2020):** A comprehensive reform in the education system to improve access, equity, and quality in education, fostering human capital development.
2. **Right to Education Act, 2009:** Free & comprehensive primary education in the category of 6-14 years.

✓ **Subsidy Programs:**

1. **Direct Benefit Transfer (DBT):** To transfer subsidies and welfare benefits directly to beneficiaries' bank accounts, cutting out middlemen and reducing leakage.
2. **Pradhan Mantri Ujjwala Yojana (PMUY) (2016):** To provide free LPG connections to poor households to ensure clean cooking fuel and improve health outcomes.

✓ **Tribal and Backward Classes Development**

1. **Vanbandhu Kalyan Yojana (2014):** Focused on comprehensive development of tribal communities through education, health, and livelihood support.
2. **Scheduled Castes Sub Plan (SCSP) and Tribal Sub Plan (TSP):** To ensure that funds are earmarked for the welfare of Scheduled Castes and Scheduled Tribes in every developmental initiative.

➤ **Bidirectional relationship between population growth and poverty in India**

- ✓ The relationship between population growth and poverty in India is complex and bidirectional, with each factor influencing the other in significant ways.

✓ **Population Growth as a Cause of Poverty**

- a) **Resource Strain & Infrastructure Pressure:** Rapid population growth increases the demand for essential resources such as food, water, and energy. A growing population puts pressure on infrastructure such as healthcare, education, and transportation. Inadequate infrastructure can lead to poor living conditions and hinder access to services, perpetuating poverty.
- b) **Employment Challenges:** High population growth can outpace the creation of employment opportunities leading to higher unemployment rates. Rapid population growth, particularly among the youth, can exacerbate skill mismatches.
- c) **Environmental Impact & Degradation of Resources:** Increased population can lead to overexploitation of natural resources, causing environmental degradation. Issues like deforestation, soil erosion, and water scarcity can affect agricultural productivity and living conditions, contributing to poverty.

✓ **Poverty as a Cause of Population Increase**

- a) **Lack of Access to Family Planning:** In impoverished areas, access to family planning services and education is often limited. Poor families may have more children due to lack of knowledge or access to contraceptives, contributing to higher population growth rates.
- b) **Economic Incentives & Social Security:** In poorer households, children are often seen as economic assets who can contribute to family income through work. This

economic incentive can lead to larger family sizes, as more children are perceived as beneficial for economic survival.

- c) **Health and Mortality Rates:** In areas with high infant mortality rates, families might have more children as a precaution, hoping that some will survive to adulthood. High poverty levels are often linked to inadequate healthcare, which can increase mortality rates and influence family size.

✓ **Way Forward**

- Both growing population and poverty contribute to each other in complex ways. Rapid population growth can exacerbate poverty by straining resources and infrastructure, while poverty can drive higher fertility rates and contribute to population growth.
- Poverty can drive higher fertility rates and contribute to population growth. To effectively address these issues, India needs integrated policies that focus on both reducing poverty and managing population growth through improved access to education, healthcare, and family planning services.
- Sustainable development and targeted interventions are essential to breaking the cycle of poverty and high population growth.

➤ **Reasons for persistence of poverty in India**

- ✓ **High Population Growth & Pressure on Resources**
- ✓ **Inequality and Uneven Distribution of Resources**
- ✓ **Unemployment and Jobless Growth**
- ✓ **Agricultural Stagnation**
- ✓ **Poor Health Services (Vicious cycle)**
- ✓ **Child Malnutrition & undernourishment**
- ✓ **Insufficient Education & Training**
- ✓ **Caste and Gender Disparities**
- ✓ **Focus on Short-Term Relief Over Long-Term Solutions:** Many government schemes, such as cash transfers or food distribution programs, focus on providing immediate relief rather than long-term, sustainable poverty eradication strategies
- ✓ **Leakages and Corruption in Welfare Schemes**
- ✓ **Weak Implementation and Governance**
- ✓ **Inadequate Targeting of Beneficiaries**
- ✓ **Environmental Degradation**

➤ **Hunger**

- ✓ Hunger is an uncomfortable or painful sensation caused by insufficient consumption of dietary energy. (FAO)
- ✓ India's Global Hunger Index – 2023
 - Ranking – 111 out of 125 countries
 - Score – 28.7

- Category – Severe
- Parameters
 - a) Undernourishment (Insufficient Calorie Intake)
 - b) Child Stunting (under Age 5; low height for their Age)
 - c) Child wasting (under Age 5; low weight for height)
 - d) Child Mortality (Child who die before age 5; inadequate nutrition & unhealth environment)

➤ **Government initiatives to address Hunger**

- ✓ **Public Distribution System (PDS):** The PDS is one of the largest food security programs in the world, distributing essential commodities like rice, wheat, and sugar at subsidized prices to eligible households.
- ✓ **National Food Security Act (NFSA), 2013:** The NFSA aims to provide subsidized food grains to approximately two-thirds of India's population. The Act makes the right to food a legal entitlement for eligible households.
- ✓ **Mid-Day Meal Scheme (MDMS):** The scheme aims to improve the nutritional status of school children, increase school enrolment, retention, and attendance, and simultaneously address child malnutrition.
- ✓ **Integrated Child Development Services (ICDS):** Launched in 1975, ICDS is a comprehensive program aimed at improving the health, nutrition, and development of children under six years of age, as well as pregnant and lactating mothers.
- ✓ **Pradhan Mantri Garib Kalyan Anna Yojana (PMGKAY):** Launched in 2020 in response to the COVID-19 pandemic, PMGKAY aimed to provide free food grains to the poor and vulnerable populations affected by the lockdowns.
- ✓ **Poshan Abhiyaan (National Nutrition Mission):** Launched in 2018, Poshan Abhiyaan aims to reduce the levels of stunting, under-nutrition, anaemia, and low birth weight in children, as well as focus on adolescent girls, pregnant women, and lactating mothers.
- ✓ **Eat Right India Campaign:** This campaign by the Food Safety and Standards Authority of India (FSSAI) aims to improve public health by promoting healthy and safe eating habits. It includes initiatives like "Eat Right Mela," "Eat Right Campus," and "Eat Right Toolkit" to educate and encourage people to make healthier food choices.
- ✓ **Pradhan Mantri Matru Vandana Yojana (PMMVY):** This maternity benefit scheme provides cash incentives to pregnant and lactating women to compensate for wage loss during childbirth and ensure adequate rest and nutrition.

➤ **Way Forward for addressing poverty & hunger**

- ✓ Strengthen Social Protection Programs [MGNREGA, PDS etc.]
- ✓ Focus on Agriculture and Rural Development
- ✓ Invest in Health and Nutrition
- ✓ Promote Inclusive Economic Growth
- ✓ Implement Direct Cash Transfers [UBI]

- ✓ Strengthen Governance and Accountability
- ✓ Address Structural Inequalities

Questions

1. India's development strategy has evolved from state-controlled economy to a more market oriented liberalised system, with an increasing focus on social inclusion & sustainable growth. Comment [10]
2. Why did Human Development failed to keep pace with economic development in India? [10]
3. Despite the implementation of various programmes for the eradication of poverty by the government in India, poverty is still existing'. Explain by giving reasons. [10]
4. Critically examine whether growing population is the cause of poverty OR poverty is the main cause of population increase in India. [10]
5. Hunger and Poverty are the biggest challenges for good governance in India still today. Explain how the government have progressed in dealing with these humongous problems. Suggest measures for improvement. [10]